

Module 12

Business Finance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

To: Board of Directors
From: Financial Controller
Date: xx/xx/2024
Remarks: Strategic options for fresh foods and groceries retail business in Hong Kong

Mega should use Ansoff product market strategies to develop strategic options and determine which products should be sold in which markets for its FFG business in Hong Kong.

Market penetration

This strategy focuses on selling more existing products in an existing market. Mega could further penetrate the existing FFG retail business by maintaining or increasing its 5% market share with current British FFG products via competitive pricing, advertising, and sales promotion because existing customers who like British FFG products are still attracted to Mega's offerings. This would be a comparatively lower risk and lower cost strategy as it would require no further capital investment. Nevertheless, Mega would still lose customers due to the recent change in buying patterns of customers who now prefer to shop for FFG in mainland China, which will further reduce sales revenue. In addition, Mega may face the possibility of an increase in rent and operating costs that would further erode its profitability. Mega could also consider closing down FFG retail stores and withdrawing from the FFG businesses in monopolised markets with fierce competition that erode the revenue and profitability of the FFG retail business. Mega could stop financial losses of FFG retail stores, but it would lose the opportunity to serve customers who like British FFG in Hong Kong.

Product development

This strategy focuses on selling new products in an existing market. Mega could consider launching and selling new, higher margin health and wellness products in FFG retail stores to meet the increased demands of customers, which in turn could increase sales revenue and the profitability of the FFG retail business. Since this would be the first time for Mega to sell health and wellness products in Hong Kong, Mega would need more time and would incur higher costs to explore marketing arrangements for existing health and wellness products, to understand customers' needs and demands, and to understand the legal and logistic arrangements needed to sell health and wellness products in Hong Kong. This would be a comparatively higher risk strategy as Mega is uncertain of the kinds of health and wellness products they would sell to meet the needs of customers in the existing market. This would be a high-risk strategy that may increase the existing financial losses of FFG retail stores.

Market development

This strategy focuses on sell existing products in a new market. Mega could consider setting up FFG retail stores in Shenzhen to sell British FFG products so that they could increase sales revenue by tapping into the larger Shenzhen market. Since this would be the first time for Mega to sell FFG in Shenzhen, they would need to spend more time to understand the FFG retail market situation in Shenzhen. This would require new capital investments to set up FFG retail stores in Shenzhen, and they would need to set up a new mainland Chinese company and FFG retail stores. Mega would also need time to obtain company and business licenses to operate its FFG retail businesses. Moreover, Mega would have to meet legal and business rules and regulations in Shenzhen, which would be new to Mega and may incur higher compliance costs. Mega would bear higher business and financial risks in this market development strategy.

Diversification

This strategy focuses on selling new products in a new market. Mega could consider diversifying into the food catering market and opening British style cafes that serve British food and beverages to customers in their FFG retail stores. This could attract customers who like British food and beverages as part of their enhanced shopping experience. This could increase sales revenue and offer prospects for business growth. Mega could benefit from synergy by selling FFG and opening a British cafe to sell British food and beverages to customers, aiming to generate higher revenue and profitability for Mega. Since this would be the first time for Mega to open a cafe in Hong Kong, Mega would have to invest significant time and costs setting up the cafe and would also need to comply with local laws and regulations required for operating a cafe, which would all be new to Mega. Therefore, this would be the highest risk strategy.

Conclusively, since Mega has no FFG retail experience in Shenzhen and no experience in operating a cafe business, these two strategies should not be implemented under a slow economy and deteriorating market situations. Instead, Mega should consider using a market penetration strategy to sell existing products in existing markets by offering sales discounts and promotions. Mega should also consider selling health and wellness products that offer higher revenue and profitability to further develop their FFG business in Hong Kong.

Answer 2

Mega can consider divesting from the FFG retail business in Hong Kong. Divestment involves the disposal of a subsidiary that forms a distinct part of a business. Ownership is sold and transferred to new owners. The sales proceeds from divestment could then be used to reinvest in other businesses in the group or could be returned directly to shareholders through dividends. Mega could get back their investment immediately by divesting the FFG retail business and using the sales proceeds from reconstruction to develop other businesses. Mega could also simplify its business operation and focus on their core competence in other businesses. Shareholders could also receive dividends to get back their return on investment immediately, increasing shareholders' return. However, Mega would lose the opportunity to develop the FFG retail business once the economy recovers in Hong Kong. Moreover, it would be very challenging to find potential buyers of the FFG retail business, and thus the sales proceeds from divestment would be comparatively lower due to the slow economy in Hong Kong.

Mega can consider talking to the existing management of the FFG retail business in Hong Kong to see if they are interested in using the management buy-out method to purchase Mega's FFG retail business in Hong Kong. Ownership will be sold and transferred to the existing management team in Hong Kong, who will need to find debt and equity financing by pledging existing assets as collateral to purchase the business. Management buyouts tend to be simple and easy to arrange as the management are the buyers of the business who are already in place and Mega can save resources and time marketing and searching for buyers. Management buy-out has a higher chance of success because the existing FFG management team has an in-depth understanding of the FFG retail business and has existing relationships with key stakeholders, ensuring continuity of the FFG retail business. Mega may need to help the existing management team raise sufficient capital to fund the management buy-out. The management team will bear high levels of debt after the management buy-out, which may cause them to face financial difficulties operating the FFG retail business without Mega's financial support. Shareholders may also get dividends after the management buy-out, increasing the return on investment in the short term.

Mega can consider combining management buy-out and management buy-in by selling the FFG retail business to an external management team experienced in the FFG retail business, typically supported by a private equity buyer, to improve and increase profit of the existing FFG retail business in Hong Kong. Management buy-in can bring in a group of experts to find the weaknesses and growth potentials of the business and help the existing management team operate profitably and efficiently. Management buy-out can help retain the existing management to continue the operation of the FFG retail business with a group of external management who can bring new ideas to the business. This method reduces the financial burden on the existing management with regard to raising finance to purchase the business, as the external management team can attract private equity to help finance the purchase along with the existing management team. Nevertheless, the existing management team may not like co-owning the FFG retail business with an external management team, and it may be challenging to work out a percentage of ownership that would satisfy both the existing and the new management. Moreover, due to the slow and uncertain economy of the FFG retail business, it may be challenging to find buyers for management buy-in. However, shareholders may get dividends after management buy-in, which would increase the return of investment in the short term.

Divestment is the most suitable financial reconstruction method for Mega and shareholders because the shareholders of Mega could get dividends, which would be an immediate return from the investment, and Mega could also focus on their core competence to develop other businesses. This would stop continuous losses of the existing FFG retail business and minimise the time and costs involved in negotiating a management buy-out with existing management and a management buy-in with new management.

Answer 3(a)

Glory is at risk of insolvency due to insufficient cashflow from operating activities to make payments and pay excessive debts.

The economic slowdown has decreased the demand for plastic tableware, which has negatively impacted Glory's revenue and profitability resulting in significant accumulated losses and possibly leading to insolvency.

Glory has high financial leverage, and the gearing ratio is 6 (HK\$12 million / HK\$2 million). Glory is under pressure to pay interest and raise future financing to operate the business, which may lead to insolvency.

Glory has capital losses due to the fall in property prices and other asset prices after writing off problematic assets, such as accounts receivable and inventories. Glory may not be able to pay outstanding debts and liabilities, which would lead to insolvency.

Glory has going concern problems due to the "reduction of disposable plastic tableware" policy. This would reduce Glory's revenue by 80% and further reduce its ability to pay interest, other operating expenses, and outstanding bank loans. Glory may be run out of business due to insolvency.

Answer 3(b)

	<u>HK\$</u>	<u>HK\$</u>	
Proceeds		16,000,000	
	Original claim	Distributions	
Trustee's fee	400,000	400,000	
Stamp duty	680,000	680,000	
Liquidation fee	1,000,000	1,000,000	
Secured bank loan	10,000,000	10,000,000	
Unsecured bank loan (\$12m - \$10m)	2,000,000		(working 1)
Accounts payable	8,900,000		(working 2)
Salaries and wages payable	880,000	880,000	
Annual audit fee payable	400,000		(working 3)
Share capital	2,000,000	0	
	26,260,000	12,960,000	
Distribution to unsecured creditors		3,040,000	
Unsecured bank loan (\$12m - \$10m)	2,000,000	538,053	(working 1)
Accounts payable	8,900,000	2,394,336	(working 2)
Annual audit fee	400,000	107,611	(working 3)
Total unsecured creditors	11,300,000	3,040,000	

There is no cash to pay back existing shareholders after distribution.

Answer 4

Free cash flow to the firm's approach is used to calculate the enterprise value and implied value of equity of Nice:

(All in millions except years and discount rates)						
	Year 0	Year 1	Year 2	Year 3	Year 3	Total
Sales	100	130	169	219.7		
	20	26	33.8	43.94		
Tax (15%)		-3.9	-5.07	-6.59		
		22.1	28.73	37.35		
Depreciation		13	16.9	21.97		
Changes in net working capital		-10.4	-13.52	-17.58		
Capital expenditure		-7.8	-10.14	-13.18		
FCFF		16.9	21.97	28.56	228.46	(note 1)
Discount rate (17%)		0.85	0.73	0.62	0.62	
		14.37	16.04	17.71	141.65	189.77
Enterprise value						189.77
Implied value of equity:						
Enterprise value	189.77					
Debt	-6					
Cash	2					
Implied value of equity	185.77					
Note 1:						
Terminal value						
FCFF in year 3 at growth rate	29.7					
WACC - growth rate	13.0%					
Terminal value	228.46					

The maximum price to acquire Nice is RMB185.77 millions.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Social media harvesting involves collecting data from social media platforms automatically and discreetly. Researchers can use basic programming tools to gather relevant messages for both research and commercial objectives. This method contrasts with traditional communication methods like surveys in several ways.

Firstly, it is unobtrusive by design, as it doesn't draw attention. Thus, it allows for the collection and study of social behaviour without influencing it, potentially making the harvested data more objective and reliable than survey or experimental data.

Secondly, social media harvesting is automated, utilising computers to collect and code data without manual intervention.

Thirdly, this process often captures real-time data, provides detailed information, and offers a vast amount of global data. While social scientists have traditionally excelled at collecting data inconspicuously, and organisations have long tracked customer purchases, the scope of social media harvesting is much broader due to the worldwide availability of the data. It also permits analysis at a very fine behavioural level.

FCP can use their trading platform and social media harvesting to identify the target audience and influencers for the products and services of their trading partners, including retailers and wholesalers, then tailor their messages and promotions accordingly. FCP can analyse the online behaviour and preferences of potential customers, segmenting them into different groups based on their demographics, interests, and needs. Then, FCP can provide advice to their clients on how to design and deliver personalised and relevant ads and offers to each group while measuring the effectiveness and conversion rates of their campaigns. Additionally, FCP can also identify and engage with influential users who possess a large and loyal following and leverage their social influence to promote their products and services.

Answer 5(b)

Private placement occurs through a network of issuing organisations with institutional investors such as pension funds and insurance companies that agree to buy specific securities at issue. This is more prevalent in some countries such as the US. Intermediaries such as banks help put the transactions together. Private placements can involve debt, equity, or both.

Compared with a public offering, a private placement will likely involve only a few investors. The job of finding investors usually is placed in the hands of a dealer or bank.

A bank may be selected to act as an agent, and both documentation and legal and accounting expertise is likely to be required. Although some investors are interested in private placements opportunistically, treasury's relationships are most likely to involve institutional investors who know and respect the company.

These professional investors may be focused on a particular industry, a specific geographic area, or companies at a defined development stage. They may be insurance companies, private equity, or asset managers with matching risk. If the company's situation matches the investors' criteria and treasury can facilitate the intensive scrutiny that is typical of professional investors, this may be a good source of capital for the company.

Answer 5(c)

Treasury plays a crucial role in building relationships with the investor community for a company focusing on transactional-related interactions. Effective communication and engaging with investors are essential as they support corporate performance and shareholder value. Investors focus on corporate performance because it impacts shareholder value and the investment community believes that strong performance and successful execution enhance long-term value, and this should be frequently communicated.

Treasury who are finance experts can take the lead in managing the perceived risk and the cost of capital by minimising earnings surprises, reducing volatility, maintaining reasonable debt, and enhancing communications with investors to ensure they fully understand business performance.

Unlike investor relations, who cover reporting and marketing, treasury specifically targets funding, equity, and debt issuance. One of the key strengths of treasury is building strong relationships with the investment community for equity, debt issuance, and funding, including brokers and investment bankers who can support the company to market their issuing, i.e. securities or debts, as well as "buy side" institutional investors, such as pension funds and asset managers, who would be interested in investing in the company. Treasury interacts and networks with both the buy and sell side, and treasury expertise can help with structuring deals helpful to investors.

Answer 6(a)

	2023	2024
Size of studio	120,000 square feet	250,000 square feet
Electricity consumed on equipment	600,000 kWh	1,250,000 kWh
Electricity consumed on lighting	1,000,000 kWh	1,350,000 kWh
Electricity consumed on air-conditioning and ventilation	600,000 kWh	1,250,000 kWh
Electricity consumed on hot water heating (changing room of studio)	80,000 kWh	160,000 kWh
Total electricity consumed	2,280,000 kWh	4,010,000 kWh
Electricity consumed per square feet	19 kWh	16.04 kWh

The increase in total electricity consumption is mainly due to the increase in the size of the studio. However, the electricity consumption per square foot is reduced, which could be due to the use of LEDs for lighting as LED lights are much more energy-efficient compared to traditional incandescent or fluorescent bulbs.

Answer 6(b)

Proportion of renewable energy used in 2024	15%
Electricity subject to carbon emission in 2024 $4,010,000 \text{ kWh} \times (1 - 15\%)$	3,408,500 kWh
Total carbon emission in 2024 $3,408,500 \text{ kWh} \times 0.66$	2,249,610 kg
The cost for Last Dance to become carbon neutral by purchasing carbon credits to offset their carbon emissions in 2024: $2,249,610 \text{ kg} \times \$75 / 1,000\text{kg} =$	HKD 168,720.75

Answer 6(c)

The HKEX has established specific requirements for ESG reporting for listed companies. The ESG report of Tiger should include mandatory disclosures and KPIs related to its environmental and social impacts. This report should include the performance of the following KPIs against the company's benchmarks:

- Electricity consumed per square foot
- Total carbon emissions
- Annual decrease in carbon emissions
- Emissions offset by purchase of carbon credits
- Employee turnover/ retention rate
- Incidence of work-related injury and fatality
- Hours per employee of participation in employee safety training
- Any other valid point

Answer 6(d)

The following five principles provide expectations for the behaviour of professional accountants in business that are relevant to Angie for making her decision regarding the ESG disclosure.

Integrity: Be straightforward and honest in all professional and business relationships. The Code mandates that professionals should avoid association with any information believed to be materially false or misleading.

In this case, Angie's decision to disclose certain information without disclosing the full picture of the ESG KPIs would mislead investors. By withholding or manipulating relevant information, Angie would not be acting in the best interest of the investors and would damage the trust and credibility of the profession. She would violate the fundamental principle of integrity, which requires accountants to be straightforward and honest in all professional and business relationships.

Objectivity: Avoid bias, conflicts of interest, or external pressure that affect professional decisions.

In this case, if Angie is afraid of losing her job and follows the Board of Director's instructions without further evaluation, she may compromise her objectivity as a professional accountant.

Professional Competence and Due Care: Angie, as a professional accountant, must maintain the necessary knowledge and skills needed to provide competent service according to current technical standards and relevant legislation.

She must also act diligently and adhere to the applicable technical and professional standards for accurate ESG disclosure. If she blindly follows the Board's instructions, she may violate the principle of Professional Competence and Due Care. This could lead to Last Dance's non-compliance with ESG disclosure requirements and expose the company to legal and reputational risks.

Professional Behaviour: Comply with relevant laws and regulations and avoid any conduct that the professional accountant knows or should know might discredit the profession.

In this case, Angie should not knowingly engage in any business, occupation, or activity that impairs or might impair the integrity, objectivity, or good reputation of the profession, and that, as a result, would violate the fundamental principles. By intentionally violating the ESG disclosure requirement, a professional accountant would fail to meet the Professional Behaviour principle.

Answer 7(a)

Retail Model:

Days Sales in Inventory ("DSI")

= Average inventory balance/Cost of goods sold x 365 days

= USD3,005,500 / USD15,000,000 x 365

= 73.13 days

Days Sales Outstanding ("DSO")

= Average accounts receivable balance/Net credit sales x 365 days

= USD 30,000 / USD76,000,000 x 365

= 2.07 days

Days Payables Outstanding ("DPO")

= Average accounts payable balance/Cost of goods sold x 365 days

= USD1,850,000 / USD15,000,000 x 365

= 45.02 days

Cash Conversion Cycle

= DSI + DSO – DPO

= 73.13 + 2.07 – 45.02

= 30.18 days

The change of business model affects the DSI of Unicorn Asia, as they now take care of the retail channel directly and hold the inventory until they sell it to the end customer. This is different from the wholesale model, where the inventory is sold to department stores or retailers and becomes their inventory (i.e. channel stock) instead of Unicorn Asia's. Therefore, the DSI increases after the change.

The DSO also changes depending on the business model. Under the wholesale model, Unicorn Asia sells to their wholesale channels and records them as receivables, as they usually grant credit terms for wholesalers to support their working capital before they sell to end customers. For the retail model, Unicorn Asia receives cash promptly after selling to end customers, with the exception of a short period of time before the merchant service providers settle their credit card payments to Unicorn Asia. As a result, the DSO decreases after changing the business model.

There is no change to the DPO as there is no change of the transactional flow for purchasing the products from their OEM suppliers for both models. The DPO measures how long it takes for a company to pay its suppliers for the goods it purchases. In the case of Unicorn Asia, the DPO remains the same for both the wholesale and retail models, as they do not change any upstream process flow with their OEM suppliers. Therefore, the DPO is not affected.

Answer 7(b)(i)

Days Sales in Inventory (DSI) = Average inventory balance / Cost of goods sold x 365
Average inventory balance = DSI x cost of goods / 365
Average inventory balance = 60 days x USD15,000,000 / 365
Average inventory balance = USD2,465,753
Closing inventory balance = 2 x Average inventory balance – Opening inventory balance
Closing inventory balance = 2 x USD2,465,753 – USD2,700,000
Closing inventory balance = USD2,231,506

Answer 7(b)(ii)

Days Payables Outstanding (DPO) = Average accounts payable balance/ Cost of goods sold x 365
 $1 = \text{Average accounts payable balance} / \text{Cost of goods sold} \times 365$
Average accounts payable balance = $1 / 365 \times \text{cost goods sold}$
Average accounts payable balance = $1 / 365 \times \text{USD15,000,000}$
Average accounts payable balance = USD41,095.89

For each one-day reduction in CCC, the average accounts payable balance would increase by USD41,095.89.

* * * END OF EXAMINATION PAPER * * *